Latvenergo

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: Moody's Baa2, stable outlook (affirmed October 2025)[1,2]
Next report: 9M 2026 interim report - 2026-11-30[3]

Position OK. 1H profit EUR 144.6m (+7%), rating Baa2 stable[2]. Debt is rising because of large renewable investments: net debt / EBITDA 2.4x (1.5x a year ago), but FFO / net debt of 35% is still above the strategy target of >25%[4].

EBITDA (6M2026)	Net profit (6M2026)	Net debt / EBITDA (6M2026)	FFO / net debt (6M2026)
284.6 EUR m	**144.6 EUR m**	**2.4x**	**35%**
▲ 4.7 % vs 6M2025	▲ 6.9 % vs 6M2025	▲ 0.9x vs 6M2025	▼ 22 p. p. vs 6M2025

Quick summary

- **Profit up:** 1H revenue EUR 941.8m (+11%), EBITDA EUR 284.6m (+5%), net profit EUR 144.6m (135.3m)[5].
- **More generation:** 3,336 GWh of electricity produced versus 2,603 GWh a year ago. In 2025, 66% of electricity came from renewable sources[2,6].
- **Debt rising with investment:** net debt EUR 1,372.1m (843.1m), net debt / EBITDA 2.4x (1.5x). Investments EUR 255.5m in the half year and a record EUR 792.1m in 2025[2,7].
- **Cheap funding:** in June 2026 EUR 300m of 7-year green bonds were issued at a 1.3% yield[8].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
LV0000802684	Latvenergo 4.952% 6Y green bond	4.952%	2029-02-22	Green bond; Moody's Baa2; issue date = listing date
LV0000870129	Latvenergo 2.42% 5Y green bond	2.42%	2027-05-05	Green bond; Moody's Baa2; issue date = listing date
LV0000802460	Latvenergo 0.5% 7Y green bond	0.5%	2028-05-17	Green bond; Moody's Baa2; issue date = listing date
XS3227294132	Latvenergo 3.612% 5Y green bond	3.612%	2030-11-13	Green bond; Moody's Baa2

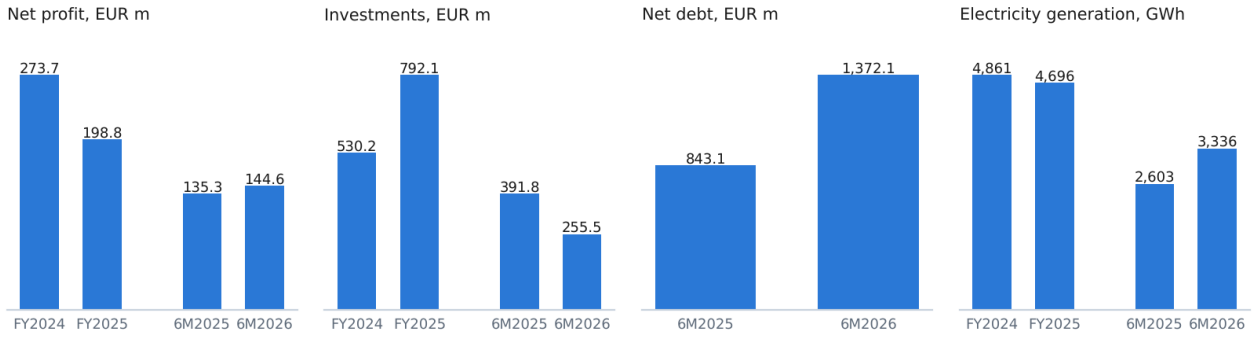
Key ratios

Metric	FY2025	6M2025	6M2026	Change
Revenue, EUR m[7,9]	1,566.1*	847.1*	941.8*	**▲ 11.2 % vs 6M2025**
EBITDA, EUR m[2]	–	271.7*	284.6*	**▲ 4.7 % vs 6M2025**
Net profit, EUR m[1,2]	198.8*	135.3*	144.6*	**▲ 6.9 % vs 6M2025**
Investments, EUR m[7,2]	792.1*	391.8*	255.5*	▼ 34.8 % vs 6M2025
Net debt, EUR m[2]	–	843.1*	1,372.1*	**▲ 62.7 % vs 6M2025**
Net debt / EBITDA[2]	–	1.5x*	**2.4x***	**▲ 0.9x vs 6M2025**
FFO / net debt[1,2]	39%*	57%*	**35%***	**▼ 22 p. p. vs 6M2025**
ROE[2]	–	5.2%*	**6.9%***	**▲ 1.7 p. p. vs 6M2025**
Equity, EUR m[2]	–	2,969.5*	3,035.9*	**▲ 2.2 % vs 6M2025**
Total assets, EUR m[7,2]	4,967.5*	4,471.3*	5,259.6*	▲ 17.6 % vs 6M2025
Equity ratio[2]	–	66.4%[c]	**57.7%[c]**	**▼ 8.7 p. p. vs 6M2025**

Metric	FY2025	6M2025	6M2026	Change
Electricity generation, GWh[10,2]	4,696*	2,603*	3,336*	▲ 28.2 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- **Renewables build-out:** 937 MW of wind and solar installed at end-June, with an approved 1,144 MW project portfolio; strategy target 600 MW by 2026 and 2,300 MW by 2030[11].
- **2025 generation mix:** hydro 2,882 GWh (61%), gas-fired Riga CHPs 1,587 GWh (34%), wind and solar 209 GWh (shares calculated by the tool)[12].
- A severe storm on 2026-08-22 caused widespread power outages[8].

Financials

- **FY2025 revenue EUR 1,566.1m (2024:** 1,703.6m), profit EUR 198.8m (273.7m, −74.8m); FFO / net debt 39%[13].
- Equity EUR 3,035.9m, total assets EUR 5,259.6m, an equity ratio of 57.7% (calculated by the tool); ROE 6.9% (5.2%)[2].
- **Dividends to the state:** EUR 141.0m from 2025 profit approved on 2026-05-27, paid in two EUR 70.5m instalments (June and by 30 November)[14].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Strategy 2022-2026: ROE >7%, adjusted FFO / net debt >25%, Moody's rating ≥ Baa3, dividend payout >64%	6M 2026: ROE 6.9%, FFO / net debt 35%, rating Baa2[15]	Partly: the rating and FFO targets are met; ROE (6.9%) is close to the 7% target[2].	**Partly**
Build or acquire 600 MW of wind and solar by 2026	937 MW installed at 2026-06-30[16]	Exceeded[17].	**Met**
2,300 MW of renewables by 2030; at least 250 MW / 500 MWh of storage by 2030	Approved project portfolio of 1,144 MW[18,6]	Long-term target, financed with green bonds[8].	**In progress**
Climate-neutral electricity generation by 2040; cut Scope 1 emissions 47% by 2030 (vs 2021)	2025: −17%[19]	In progress; progress depends on how much the gas plants run[19].	**In progress**

Investor information & conclusions

- **Instruments held:** four green bonds, 2.42% 2027 (EUR 100m), 0.5% 2028 (EUR 50m), 4.952% 2029 (EUR 50m) and 3.612% 2030 (EUR 400m)[20,21,22,23]. Moody's rates the green bonds Baa2[24].

- **Next maturity:** the 2.42% bond on 2027-05-05. The company has funding: it borrowed EUR 300m at 1.3% in June 2026[21,8].
- **State ownership (100%)** and the dividend policy (>64% payout) mean part of the cash goes to the state, but the rating target (≥ Baa3) caps borrowing[25].
- **Conclusion:** the business is profitable, borrowing is growing as planned and credit metrics are above the strategy limits.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel
- No weapons, tobacco or gambling
- No coal or oil & gas extraction.
- The two Riga CHPs run on natural gas (34% of output in 2025)[12].
- The SEB fossil fuel policy restricts coal and oil & gas extraction, not gas-fired generation[26].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards
- No UN Global Compact or OECD related controversies found.
- Significant corruption or ethics breaches in 2024-2025: 0[27].
- In a 2020 procurement case the anti-corruption bureau KNAB closed the criminal proceedings with no wrongdoing established[28].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review
- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)
- No adverse news found (search in Latvian and English, 2026-10-22).

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)
- 66% of electricity from renewable sources[6]
- S&P Global CSA score 54, in the top 30% of electric utilities worldwide[29]
- Moody's ESG credit impact score CIS-2[7].
- All bonds are green[20,21,22,23].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)
- Target of climate neutrality by 2050 and climate-neutral generation by 2040[30].
- EU taxonomy-aligned investments 97% (target ≥80%)[31].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards
- No yellow flags found.
- Serious accidents and major pollution cases in 2024-2025: 0[32].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable
- The Investments policy[33], the Electricity & Renewable Energy policy[34] and the Fossil Fuels policy for the gas plants[35].

Met
- Emission reduction targets for 2030 and 2040[19]

- 2024 emissions across all scopes independently verified[36]
- ISO 50001 energy management[37]
- Zero corruption cases and a fraud risk management plan[38]
- No coal.

Could be improved

- Absolute Scope 1-3 totals not found in the report text.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

- No need: a clear renewable transition strategy and sound ESG practice.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Generation emission intensity 0.100 t CO2/MWh in 2025 (target 0.06 by 2030)
- Scope 1 emissions −17% vs 2021[19]
- Taxonomy-aligned investments 97%[31]
- Renewable share 66%[19].

Additional comments:

Conclusion: No exclusions or red flags. Mostly hydro, with fast-growing wind and solar and clear climate targets; the gas plants remain as backup capacity.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

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33. SEB Policy on Sustainability Considerations in Investments (2026-04-15), 2026-04-15

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